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Introduction to Management MGNT110

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Managing Ethically & Sustainably

Lecture 10

Learning Objectives

- Understand CSR and why it matters
- Explain the Triple Bottom Line: people, planet, profit
- Compare shareholder primacy with stakeholder responsibility
- Carroll's CSR Model
- Recognise the role of ethical leadership in sustainable management

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What is CSR?

- Corporate Social Responsibility (CSR)
  - Responsibility beyond profit
- Traditionally, some people believed a business exists only to make profit for its owners or shareholders.
- CSR - businesses also have responsibilities to:
  - Society
    - contributing positively to communities and social wellbeing
  - Environment
    - reducing pollution, waste, and environmental harm
  - Stakeholders
    - considering the interests of everyone affected by the business, not just shareholders

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Why CSR Matters

- Builds trust
  - When a company behaves responsibly, people are more likely to trust it. Customers trust its products, employees trust its leadership, and the public sees it as a responsible organisation.
- Improves reputation
  - Reputation is a valuable business asset. A company known for ethical behaviour and social responsibility can attract positive media attention, loyal customers, and supportive investors.
- Long-term sustainability
  - A business that ignores social and environmental issues may earn money in the short term, but can damage its future through lawsuits, public backlash, resource depletion, or loss of customer loyalty. CSR supports long-term survival.
- Ethical responsibility
  - Even beyond business benefits, organisations have a moral duty to avoid causing harm. This means companies should do the right thing because it is right, not only because it is profitable.

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CSR in Practice

- Real-world implementation
  - Some companies think CSR means donating money once a year or sponsoring an event. But genuine CSR is much deeper. It should be integrated into the organisation’s core operations, such as: ethical sourcing of materials, responsible waste management
- Embedded in strategy
  - internal, strategic, and ongoing
- Not just charity
  - not just an image-building exercise. It should shape the way the company makes decisions every day.

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Case Study – Who Gives a Crap

- *Who Gives a Crap* is a toilet paper and household paper products brand that builds CSR into its business model.
  - Donates **50% of profits**
  - Focus: sanitation & clean water
  - Purpose-driven business

- CSR can be built into the business model itself. The business is not treating responsibility as an afterthought. Instead, social purpose is part of the brand identity and value proposition.

- https://uk.whogivesacrap.org/

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What is a
flying
toilet?
people shit in a bag and then they throw it.

CSR Dimensions (Triple Bottom Line)

- which expands the meaning of business success beyond profit alone. The three dimensions are:

People → donations, sanitation

- This refers to the social impact of the organisation. It includes employee wellbeing, labour practices, human rights, community support, and customer welfare.
- In this case, “donations” and “sanitation” reflect helping people live healthier, safer lives.

Planet → sustainability, eco practices

- This refers to environmental sustainability. It includes reducing pollution, conserving resources, lowering waste, and using environmentally friendly practices.

Profit/Society → community impact

- Profit and social impact, the key idea is that companies should create value in a way that benefits society, not just extract money from it.
- The Triple Bottom Line tells managers to evaluate success in a more balanced way:
  - financial performance
  - social impact
  - environmental impact
- This is a direct challenge to the old idea that profit is the only goal.

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Benefits of CSR

Employee engagement
Employees often feel more motivated when they believe their organisation behaves responsibly. It creates pride, commitment, and stronger morale.

Recruitment
Talented job seekers increasingly want to work for organisations whose values align with their own. A strong CSR profile can help attract better candidates.

Brand reputation
Responsible behaviour strengthens the brand image and can make the company more resilient during difficult times.

Customer value
Consumers may prefer brands that reflect ethical values, such as sustainability, fairness, or social impact. This can strengthen loyalty.

This is the central debate in business ethics.

This is the central debate in business ethics.

Profit	Responsibility
• The company's main job is to maximise profits • responsibility to shareholders comes first	• Businesses affect many groups, not just shareholders • companies should balance profit with ethical and social duties

Businesses need profit to survive, but if profit becomes the only priority, harmful decisions may result.

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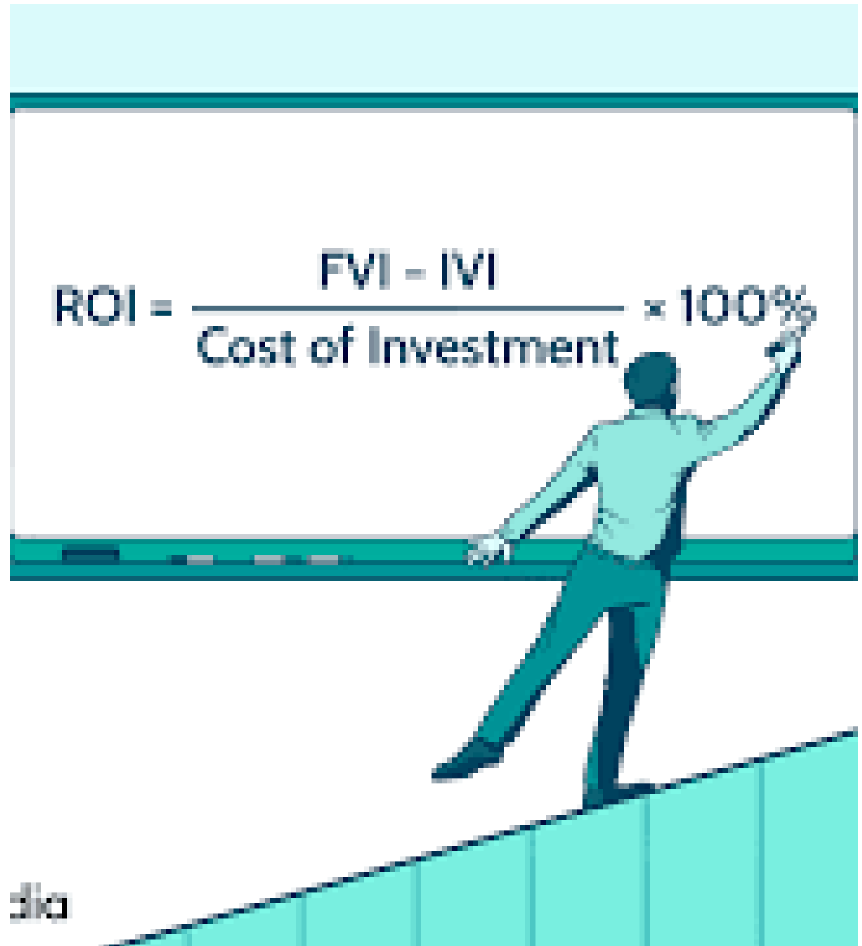
Shareholder Primacy

- Focus: maximise shareholder value
  - managers are expected to make decisions that increase returns for shareholders. Share price becomes the key measure of success.
- Measured by share price
  - places investors above everyone else. It may undervalue the interests of workers, customers, suppliers, communities, and the environment.
- Dominant since 1970s



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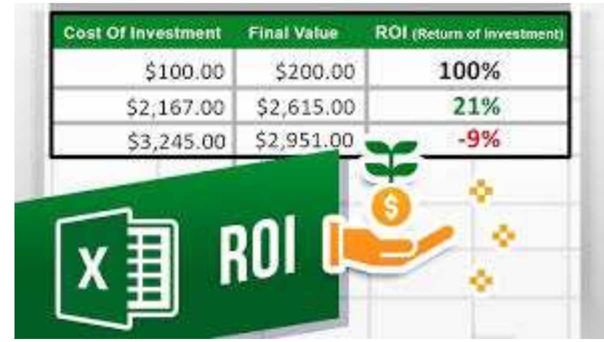
Problems with Shareholder Primacy



- Short-term focus
  - Managers may chase quick profits to satisfy markets, even if those decisions hurt long-term sustainability.
- Ignores stakeholders
  - Employees, customers, communities, and the environment may be neglected if they do not immediately affect shareholder returns.
- Encourages risky behaviour
  - Pressure to maximise returns can tempt leaders to cut corners, hide problems, reduce safety standards, or make aggressive decisions.
  - So the problem is not profit itself. The problem is treating profit as the only goal.

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Criticism of Shareholder Primacy

- Excludes ethical concerns
  - A decision may be profitable but still morally wrong.
    - For example, exploiting vulnerable workers may reduce costs but violate ethical principles.
- Ignores environmental impact
  - Polluting the environment may increase profits in the short run, but causes wider social harm.
- Leads to imbalance
  - When one group's interests dominate, the organisation becomes unbalanced. Ethical, social, and ecological responsibilities are pushed aside.

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Corporate Failure Example

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Corporate Failure Example

- **BP Deepwater Horizon Oil Spill**
  - real-world example of poor ethics and poor CSR.
  - The point of using this case is to show that unethical decisions can lead to disaster. A company may appear successful, but weak ethical standards and poor management systems can produce catastrophic consequences.


THIS DAY IN HISTORY
IN HISTORY
DEEPWATER HORIZON EXPLOSION KILLS 11
APRIL 20, 2010
LIVE
5
NEWS
WATCH US ON
fire tv
SAINT GEORGE
43
CLEAR

Full-story

- https://www.youtube.com/watch?v=XkGOukBrqgs

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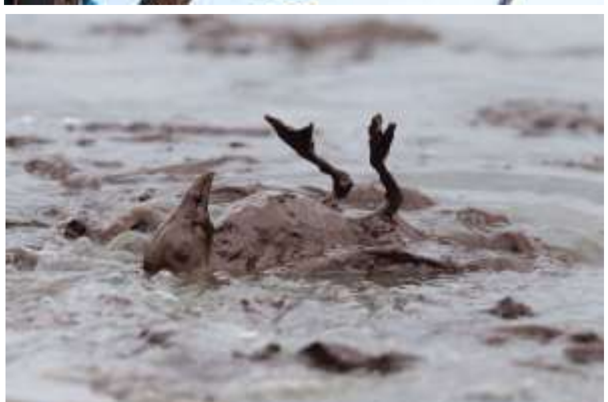
The Incident

- Corporate failures are not abstract issues. They can result in real human deaths and large-scale damage.
  - Explosion on oil rig
  - Loss of lives
- Massive oil spill In management terms, incidents like this raise questions such as:
  - Were safety procedures ignored?
  - Was there pressure to save time or money?
  - Did leadership create a culture where risks were underestimated?
  - Were warnings overlooked?
- The key idea is that unethical management decisions often do not remain hidden forever. Eventually, they may surface through accidents, scandals, or crises.

Environmental Impact



- This is where sustainability becomes very concrete. Environmental harm is not only temporary mess. It can affect ecosystems for years, damaging biodiversity, contaminating habitats, and disrupting food chains.
  - Marine life destruction
  - Pollution
  - Long-term ecosystem damage
- Environmental damage can create:
  - clean-up costs
  - legal consequences
  - public outrage
  - long-lasting mistrust

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Human Impact

- Business decisions affect human beings directly. Workers may lose their lives or health. Families may suffer grief and financial hardship. Local communities may lose income, safety, and quality of life.
- Business ethics is not just about rules. It is about people. When ethics fail, the costs are often carried by ordinary workers and communities rather than top executives alone.
  - Workers affected
  - Communities impacted
  - Health consequences

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Financial Impact

- Job losses
- Billions in losses
- Economic disruption

- unethical behaviour often backfires financially. Companies that ignore CSR may think they are saving money, but later face:
  - lawsuits
  - compensation claims
  - fines
  - cleanup costs
  - falling investor confidence
  - disruptions to operations
- So ethics and CSR are not opposed to financial performance. In many cases, strong ethics actually protects financial stability.

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health problems.

In 2020, Jennifer died of leukemia, a blood cancer that can be caused by exposure to oil.

Gremillion, who broke down in tears as she recounted her daughter's death, is "1,000% confident" that exposure to toxins during the cleanup caused the cancer.

She filed a lawsuit against BP in 2022, although the allegations have been difficult to establish in court. Gremillion's suit is one of a small number of cases still pending.

An investigation by The Associated Press previously found all but a handful of roughly 4,800 lawsuits seeking compensation for health problems linked to the oil spill have been dismissed and only one has been settled.

In a 2012 settlement, BP paid ill workers and coastal residents $67 million, but this amounted to no more than $1,300 each for nearly 80% of those seeking compensation.

Attorneys from the Downs Law Group, representing Gremillion and around 100 others in cases against BP, say the company leveraged procedural technicalities to block victims from getting their day in court.

BP declined to comment on pending litigation. In court filings, BP denied allegations that oil exposure caused health problems and attacked the credibility of medical experts brought by plaintiffs.

- https://fox5sandiego.com/news/business/ap-business/ap-15-years-after-deepwater-horizon-oil-spill-lawsuits-stall-and-restoration-is-incomplete/

Reputational Damage

  - Loss of trust
  - Stock price impact
  - Long-term brand damage
- Reputation can take years to build and minutes to destroy. Once a company becomes associated with negligence or harm, trust is very hard to rebuild.
- This matters because trust influences:
  - customer loyalty
  - investor confidence
  - employee morale
  - partnerships
  - regulator attitudes
- Reputational damage often lasts longer than the immediate crisis itself. That is why ethical conduct must be proactive, not reactive.

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Key Lesson from BP Case

- Lack of CSR = long-term failure
- Even if a company is large, profitable, and globally recognised, poor ethics and poor responsibility can create enormous long-term damage.

Importance of CSR

- Ethical responsibility
  - Organisations should avoid harm and act fairly.
- Business sustainability
  - Responsible business practices help firms survive over time.
- Stakeholder trust
  - Trust is essential for stable relationships with employees, customers, regulators, investors, and communities.

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Carroll’s CSR Model

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Carroll's CSR Model

- CSR has four layers of responsibility:
- Economic
  - A business must be profitable. Without profit, it cannot survive, pay employees, or invest in the future.
- Legal
  - A business must obey the law. This includes labour law, environmental law, taxation, safety regulations, and other legal obligations.
- Ethical
  - A business should do what is right, fair, and just even when not legally required. Law sets the minimum standard; ethics asks for higher standards.
- Discretionary responsibilities
  - These are voluntary contributions to society, such as donations, community programmes, or support for social causes.

Ethics in Organisations

- Values guide behaviour
  - Values shape what the organisation believes is acceptable. They influence hiring, communication, performance expectations, and treatment of stakeholders.
- Must align with strategy
  - If a company says it values integrity but rewards only sales results, employees may ignore ethics. Strategy and values must support each other.
- Requires leadership commitment
  - Leaders set the tone. If leaders behave unethically, employees learn that values are not real. Ethical culture starts from the top.

What is a Code of Ethics?

- A code of ethics is a written document that explains expected standards of conduct. It may include guidance on:
  - honesty
  - conflicts of interest
  - workplace behaviour
  - confidentiality
  - anti-bribery
  - fairness
  - legal compliance

The purpose is to give employees a clear understanding of what the organisation stands for and what behaviour is unacceptable.

- Formal guidelines for behaviour
- Based on company values
- Enforced by management

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Purpose of Code of Ethics

- Set behaviour standards
  - Employees need clarity about expected conduct.
- Ensure compliance
  - A code helps organisations reduce misconduct and support legal compliance.
- Promote stakeholder trust
  - When stakeholders know a company has clear ethical standards, they may feel more confident in dealing with it.

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Types of Codes of Ethics

- Corporate codes
  - These are organisation-specific. They reflect the company's internal values, rules, and expectations.
- Professional codes
  - These apply to members of professions such as doctors, lawyers, accountants, or teachers. They help maintain standards of professional conduct.
- Industry codes
  - These apply across a sector and create shared standards among organisations in that industry.

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Whistleblowing

- Reporting unethical behaviour
- Risks:
  - retaliation
  - job loss
- Protection:
  - laws
  - company policies
- Whistleblowing is important because employees may be the first people to notice misconduct. However, it is also risky because the person reporting may fear punishment, isolation, or damage to their career.
- That is why protections matter. Ethical organisations should create safe reporting channels and protect those who speak up in good faith.

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Case Study – Enron

- Enron was an energy company that appeared highly successful, but it was secretly hiding debt and overstating profits through deceptive accounting practices. When the fraud was exposed, the company collapsed, employees lost jobs and savings, and the case became a major example of corporate ethics failure.


1400 Smith Street

Case Study – Enron

- Enron had formal systems and policies, but that did not prevent scandal. Why?
  - Because if the organisational culture rewards greed, secrecy, manipulation, or excessive risk-taking, a written code of ethics becomes meaningless.
- Ethical failure despite code
- Culture matters more than rules Lesson:
  - Ethics must be practiced, not just written
  - ethics cannot be reduced to paperwork
  - leaders must model ethical behaviour
  - organisational incentives must support ethical decisions
  - culture is more powerful than written rules

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Key Takeaway

- Ethics and sustainability go beyond profit.
- CSR means responsibility to society, environment, and stakeholders.
- Good CSR builds trust, reputation, and long-term success.
- he Triple Bottom Line is people, planet, and profit.
- CSR should be part of business strategy, not an afterthought.
- Shareholder primacy can create ethical and sustainability risks.
- BP shows the cost of poor ethics and poor CSR. Enron shows that culture matters more than written rules.
- Codes of ethics only work when leaders model ethical behaviour.
- Sustainable success depends on responsible leadership.

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